untrue. A corporation exists as an objectively real entity, which any well-developed child or normal man must perceive: the law merely recognizes and gives legal effect to the existence of this entity. To confound legal recognition of existing facts with creation of facts is an error, — none the less serious because the law sometimes, ostrich-like, closes its eyes to facts and assumes that they have no existence. For instance, the common law refused to recognize the paternity of an illegitimate child and declared him to be *filius nullius;* but it did not follow that the parentage of children born in wedlock existed *only* in contemplation of law. In that case, the law recognized facts; in the other it refused to do so. Similarly, although the law stubbornly blinks at the facts when it will not acknowledge the existence of a partnership or voluntary association as an entity, it does not follow that a corporation as an entity exists *only* in intendment of law. Because Nelson at Copenhagen would not see the signal to retreat, it did not follow that everything that he did see — the enemy's vessels and his own — existed *only* in his own mind.

We need not waste words in discussing the nature of the existence of this corporate entity. Its existence is precisely as real as the existence of any other composite unit. As Kyd, a writer who deserves a greater reputation than he enjoys, clearly stated, "A corporation is as visible a body as an army; for though the commission or authority be not seen by every one, yet the body, united by that authority, is seen by all but the blind." [11] If a corporation is fictitious, the only reality being the individuals who compose it, then by the same token a river is fictitious, the only reality being the individual atoms of oxygen and hydrogen. The only difference is that one of the essential elements of an army, or of a river, consists in juxtaposition in space of the members, or of the molecules of water, whereas the bond of union in the case of a corporation is less material. But this difference is not at all fundamental; and the existence of a corporation is quite as real as the existence of the Church, of the Republican Party, or of any other aggregation of men for good or evil. Whether this existence be ideal or material, it is certainly real.

In these days, it has become rather fashionable to inveigh against the doctrine that a corporation is an entity, as a mere technicality

[11] 1 Kyd, Corporations, 16.

and a relic of the Middle Ages; but nothing could be further from the truth. A corporation is an entity — not imaginary or fictitious, but real, not artificial but natural. Its existence is as real as that of an army or of the Church. This is the element of truth in the reality theory of corporate personality which, originating in Germany, has commanded wide acceptance not only in that country but also in France and Italy.

IV.

Having thus established that a corporation is a real and natural entity, recognized but not created by the law, we next encounter the question whether this entity is a person. The answer to this question is, of course, vitally affected by our definition of "person." If we use the word in the signification which it conveys to the ordinary English-speaking layman, undoubtedly the corporate entity is not, in truth and reality, a person. For the corporate entity is not a human being; it is not even a rational creature capable of feeling and willing. But the word may be used in some very different sense. "When *I* use a word," said Lewis Carroll's Humpty Dumpty, "it means just what I choose it to mean — neither more nor less"; and when Alice objected, "The question is whether you *can* make words mean so many different things," Humpty Dumpty replied, "The question is which is to be master — that 's all." Many a German scholar has resolved, like Humpty Dumpty, that words shall not master *him*, and having thus impressed upon the word "person" his own meaning he demonstrates with absolute finality that the corporate entity is really a "person" — in *his* sense of the word.

Certain it is, however, that if the word is thus used in a special, non-popular sense, the proposition that a corporation is a person becomes a mere source of confusion. If by "person" the law means, not a rational, living creature similar to a man but a mere "subject of rights," — and this is the teaching of the more moderate members of Gierke's school [12] — then, in the name of clearness let us adopt some less ambiguous designation for this "subject of rights."

[12] See, Michoud, La Théorie de la Personnalité Morale, 7: "Pour la science de droit, la notion de personne est et doit rester une notion purement juridique. Le mot signifie simplement un sujet de droit, un être capable d'avoir des droits subjectifs lui appartenant en propre, — rien de plus, rien de moins."

But if we do not lose ourselves in metaphysical discussions of the nature of juristic personality but take common sense as our guide, we shall apprehend clearly that when a jurist first said, "A corporation is a person," he was using a metaphor to express the truth that a corporation bears some analogy or resemblance to a person, and is to be treated in law in certain respects as if it were a person, or a rational being capable of feeling and volition.

That the *dictum*, "A corporation is a person" really means what we have just stated and not that a corporation is a "subject of rights" can easily be demonstrated. For true it is that there are or may be subjects of rights which are not beings capable of feeling and volition, but they are not persons in any proper sense of the word. For instance, laws for the prevention of cruelty to animals recognize the lower animals as possessing a somewhat vague right to exemption from needless suffering. The law might go further: it might, for instance, recognize a trust for the maintenance and support of the testator's dogs or horses, and might permit of the enforcement of this right of those animals by a judicial proceeding in their names by *prochein ami*, in precisely the same way that the right of an infant *cestui que trust* would be enforceable; but the horses and dogs would not on that account be persons. Anything that is capable of enjoyment or feeling can be a subject of rights — a "*Geniesser*" as Bekker would say. Indeed, we may go further; for even a purely imaginary being may have legal rights. For example, our law recognizes and enforces trusts for the benefit of unborn children. So, a heathen code might recognize a right of Jupiter or Apollo to enjoy the sweet savour of a hecatomb or a burnt offering, and might enforce this right by judicial proceedings instituted in the name or on behalf of the divinities in question; and yet those deities, although "subjects of rights," would not be real persons.

The truth is that the essence of juristic personality does not lie in the possession of rights but in subjection to liabilities. Those beings are "persons" in law to whom the law both can and does address its commands. Now, obviously, legal commands can be addressed to none but rational beings capable of feeling and volition. To all else, the law's commands, if addressed at all, must remain unintelligible and mere *brutum fulmen*. It needs no Canute to teach us that the sovereign's commands when addressed to the waves of the sea, or for that matter to aught but rational beings, are futile.